

Question1 (a):

Bright Traders is a small trading company dealing in home appliances. The following information was collected from the company's accounting records for the year ended 31 December 2025. During the year, the company achieved total sales of Rs. 500,000, while the cost of goods sold amounted to Rs. 300,000. The company paid rent of Rs. 40,000, salaries of Rs. 60,000, and recorded depreciation on its equipment of Rs. 10,000. In addition, the business incurred interest expense of Rs. 5,000 during the year. The applicable income tax rate is 20%. Further analysis of the company's balance sheet revealed the following changes between 1 January 2025 and 31 December 2025:

- Accounts receivable increased from Rs. 40,000 to Rs.50,000.
- Inventory decreased from Rs. 30,000 to Rs. 25,000.
- Accounts payable decreased from Rs. 20,000 to Rs. 15,000.

Other significant transactions during the year included:

- Purchase of new equipment for Rs. 30,000 (paid in cash).
- Issue of new ordinary shares for Rs. 20,000 cash.
- Payment of dividends amounting to Rs. 10,000 to shareholders.
- No other non-cash items were recorded apart from depreciation.

1. Prepare Income Statement of Bright Traders for the year ended 31 December 2025.
2. prepare the Statement of Cash Flows for the same period, starting with Net Income from your Income Statement. Show all workings clearly.

Income Statement for the year ended 31 December 2025

Particulars	Amount (Rs)
Sales	500,000
Less: Cost of Goods Sold (300,000)	
Gross Profit	200,000
Rent Expense	(40,000)
Salaries Expense	(60,000)
Depreciation Expense	(10,000)
Operating Income	90,000
Less: Interest Expense	(5,000)
Income Before Tax	85,000
Less: Income Tax (20%)	(17,000)
Net Income	Rs68,000

Question1 (b): Statement of Cash Flows (Indirect Method)**Cash Flows from Operating Activities:**

Net Income Rs68,000

Add: Depreciation (non-cash) Rs10,000

Adjust for changes in working capital:

- Increase in Accounts Receivable (50,000 – 40,000) → (10,000)
- Decrease in Inventory (30,000 – 25,000) → +5,000
- Decrease in Accounts Payable (20,000 – 15,000) → (5,000)

Net Cash Provided by Operating Activities: $68,000 + 10,000 - 10,000 + 5,000 - 5,000 = \text{Rs}68,000$

Cash Flows from Investing Activities:

Purchase of Equipment (cash outflow) (30,000)

Net Cash Used in Investing Activities: (Rs30,000)

Cash Flows from Financing Activities:

Proceeds from Issue of Shares +20,000

Dividends Paid (10,000)

Net Cash from Financing Activities: Rs10,000

Net Increase in Cash: $68,000 - 30,000 + 10,000 = \text{Rs}48,000$ **Final Results:**

- Net Income = Rs68,000
- Net Increase in Cash = Rs48,000

Question2:

A regional sports equipment manufacturer employs a team of skilled workers to produce three product lines: Standard, Premium, and Elite cricket bats. Each worker's total employment cost (salary+ benefits + training allowance) and working schedule provides approximately 1,680 productive hours per worker per year. The company currently employs 4 workers. Management forecasts total sales of 520 cricket bats this year and must recover annual fixed overheads of £84,600 from sales revenue. The three product lines vary in material costs, production time, and projected demand as follows:

- **Standard: material cost = £45; production time = 6 hours. Expected sales = 240 units.**
- **Premium: material cost = £95; production time = 10 hours. Expected sales = 160 units.**
- **Elite: material cost = £185; production time = 18 hours. Expected sales = 120 units.**

Assume the direct labor hourly rate (wages + employer national insurance contributions) is £18.75 per hour. Calculate the overhead proportion to total cost direct. Show every step and intermediate calculation.

Answer: To calculate this percentage, we divide the total overhead by the total direct cost of all the units we expect to sell.

$$£45 + 6 \times £18.75 = 45 + 112.5 = £157.5$$

$$£95 + 10 \times £18.75 = 95 + 187.5 = £282.5$$

$$£185 + 18 \times £18.75 = 185 + 337.5 = £522.5$$

Now, 520 sales

$$84600 / (240 \times 157.5 + 160 \times 282.5 + 120 \times 522.5) = 0.58$$

$$\text{Factor} = 1 + 0.58 = 1.58 \text{ (+1 is the factor added per 1 unit)}$$

$$\text{The standard product is } £157.5 \times 1.58 = £248.85$$

$$\text{Premium product is, } £282.5 \times 1.58 = £446.35$$

$$\text{Elite product is, } £522.5 \times 1.58 = £825.55$$

Question3: TechServe Solutions Ltd. is a growing IT services company that provides cloud hosting services to corporate clients. Due to increasing customer demand, the company needs to expand its data center capacity. The Finance Director has identified two options for acquiring the necessary server infrastructure and has asked you to evaluate both alternatives using discounted cash flow analysis. The company's required rate of return (discount rate) is 10% per annum.

Option 1 – Purchase	Option 2 – Lease
Purchase cost: £200,000 Setup cost: £20,000 (immediate) Residual value: £30,000 (Year 5) Operating costs: £30,000 (Year 1), increasing £5,000 annually	Annual payment: £65,000 (end of each year) No setup or operating costs No residual value

Year	Purchase Cash Flow (£)	PV Factor (10%)	PV (£)	Lease Cash Flow (£)	PV (£)
0	-220,000	1.000	-220,000	—	—
1	-30,000	0.909	-27,270	-65,000	-59,085
2	-35,000	0.826	-28,910	-65,000	-53,690
3	-40,000	0.751	-30,040	-65,000	-48,815
4	-45,000	0.683	-30,735	-65,000	-44,395
5	(-50,000 + 30,000 residual) = -20,000	0.621	-12,420	-65,000	-40,365

Total PV of Outflows (Purchase) = -220,000 -27,270 -28,910 -30,040 -30,735 -12,420
= -£349,375

Total PV of Outflows (Lease) = -59,085 -53,690 -48,815 -44,395 -40,365
= -£246,350

NPV Summary

Option	NPV (£)	Decision
Purchase	-349,375	
Lease	-246,350	✓ Preferred (lower cost in PV terms)

Q4: The law regarding fair use of copyright lists four factors to consider in determining whether a particular use is a fair use or not, factors are given as follows:

- a) The purpose and nature of the use, including whether it is for commercial purposes or non-profit educational purposes. (Commercial use is less likely to be fair use.)
- b) The nature of the copyrighted work. (Use of creative work, such as a novel, is less likely than use of factual work to be fair use.)
- c) The amount and significance of the portion used.
- d) The effect of the use on the potential market for or value of the copyrighted work. (Uses that reduce sales of the original work are less likely to be considered fair.)

Answer the following questions based on the four factors to consider in deciding whether a use of copyrighted material is a fair use: **[5 marks]**

1. State whether copyright owners can sue makers of copying equipment because some buyers use the equipment to infringe copyrights. Support the answer by building the arguments based on four factors to consider in deciding whether a use of copyrighted material is a fair use.
2. State whether making copies of a program for reverse engineering to learn how it works so that a company can make a compatible product is considered copyright infringement or not? Support the answer with proper arguments under fair use guidelines.

Question4 (a): Can copyright owners sue makers of copying equipment?

Answer: NO, copyright owners generally cannot successfully sue makers of copying equipment.

Copyright owners cannot sue equipment makers successfully because:

- The equipment has substantial legitimate uses
- Manufacturers are not directly infringing copyrights
- Liability rests with the individual users who choose to infringe, not the tool providers
- This principle protects innovation and prevents stifling technology development

Question4 (b): Is reverse engineering for compatibility considered copyright infringement?

Answer: NO, reverse engineering for compatibility is generally NOT copyright infringement under fair use.

Reverse engineering for compatibility is NOT copyright infringement because:

- Purpose is transformative and promotes innovation
- Targets functional elements (unprotected by copyright)
- Uses only necessary amount for understanding
- Creates competitive alternatives without unfairly harming the original market
- Supports public interest in interoperability and competition